

Unreasoned theft assessment set aside despite s.127 appeal

High Court of Judicature at Allahabad · Division Bench · 1 December 2011 · Writ-C No. 65731 of 2011 · **Assessment set aside; fresh order after considering reply.**

HEADNOTE

Division Bench set aside a Rs.83.31 lakh theft assessment under the U.P. Electricity Supply Code, 2005. An order that only refers to the consumer's reply without considering any ground is not a reasoned order. Availability of appeal under section 127 of the Electricity Act, 2003 did not bar writ interference on those facts. Licensee given liberty to pass a fresh order within four weeks after considering the reply; consumer to keep paying regular bills.

FACTUAL SUMMARY

M/s S.S. Ice and Cold Storage sought quashing of an Executive Engineer's 21 October 2011 assessment of Rs.83,31,462 after a 25 September 2011 checking of its cold storage. The unit had been inspected on 18 September 2011 and an MRI taken on 22 September 2011. A 29 September 2011 provisional notice assessed theft for 365 days under the U.P. Electricity Supply Code, 2005. The petitioner filed a 43-page reply on 10 October 2011. The final order referred to that reply but considered none of its grounds.

REUSABLE CONSTRUCTIONS

1. Writ is not barred by section 127 of the Electricity Act, 2003 where the assessment is not a reasoned order because the assessing officer failed to consider any ground in the consumer's reply. ¶ 1
2. An assessment that merely recites that a reply was filed, without dealing with any of the grounds taken, is not a reasoned order and is liable to be set aside, with liberty to pass a fresh order after considering the reply. ¶ 1

HOLDING-UNITS

INTERPLAY · EA2003::127

writ despite s.127 — unreasoned assessment

HOLDING

Although an appeal under section 127 of the Electricity Act, 2003 lay against the theft assessment, the Court set aside the 21 October 2011 order because it was not a reasoned order: the assessing officer referred to the petitioner's 10 October 2011 reply but considered none of the grounds. The licensee was given liberty to pass a fresh order after considering the reply within four weeks of production of a certified copy. The petitioner was directed to continue paying regular bills as they fell due. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE THEFT ASSESSMENT, INCLUDING THE 365-DAY PERIOD AND THE MRI AND REGULAR-CHECKING GROUNDS

Left to the assessing officer on a fresh order after considering the reply. ¶ 1